# CONSENT AGREEMENT

The Arizona Department of Health Services (the "Department") and Compassionate Care of AZ, Inc. ("Compassionate Care") agree as follows:

## Jurisdiction

The Department is charged by statute with the authority to protect the health of the people of Arizona and to issue or direct the issuance of licenses and permits required by law. A.R.S. § 36-132(A)(1) & (18). Under A.R.S. § 36-136(G), the Director of the Department is authorized to "make and amend rules necessary for the proper administration and enforcement of the laws relating to the public health."

The Smart and Safe Arizona Act, A.R.S. §§ 36-2850 through -2865 ("SASAA"), authorizes the Department to license marijuana establishments for the cultivation, processing, manufacture, transport, and sale of marijuana and marijuana products. A.R.S. §§ 36-2850(21), -2854. SASAA also authorizes the Department to adopt rules related to the licensing and regulation of marijuana establishments. A.R.S. § 36-2854. The Department's rules to implement SASAA are codified in A.A.C. §§ R9-18-101 through -415 (the "Rules"), and the Rules related to the licensing and regulation of marijuana establishments are set forth in A.A.C. §§ R9-18-301 through -316.

The Department may inspect a marijuana establishment during its regular hours of operation "to determine if it complies with [SASAA] and [the Rules]." A.R.S. § 36-2854(B)(3). The Department "shall make at least one unannounced visit annually to each facility licensed pursuant to [SASAA]." *Id*.

If the Department determines during an inspection that a marijuana establishment is not in compliance with SASAA or the Rules, the Department will issue a statement of deficiencies and, where appropriate, provide an opportunity for remediation and corrective action. A.R.S. § 41-1009. The Department also may take enforcement action, including revoking or suspending the marijuana establishment's license or assessing civil monetary penalties of up to $2,000 per violation. A.R.S. § 36-2854(B); A.A.C. R9-18-316(C)(3). "Each day a violation occurs constitutes a separate violation." A.R.S. § 36-2854(B)(2).

## Recitals

A. Compassionate Care is registered as a marijuana establishment under SASAA pursuant to License No. 00000091ESHS96689917 (the "License").

B. On December 19, 2022, the Department conducted an annual compliance inspection of Compassionate Care's marijuana establishment.

C. The Department issued a statement of deficiencies related to the compliance inspection (the "SOD") that provided notice and a description of the Department's findings of deficiencies and violations of SASAA and the Rules observed during, or in connection with, the inspection.

D. On July 5, 2023, the Department issued a Notice of Intent to Revoke Marijuana Establishment License and Notice of Right to Request Administrative Hearing (the "Notice of

Intent to Revoke"). The Department gave notice of its intent and reasons for revoking Compassionate Care's marijuana establishment license based on the Department's findings of deficiencies and violations observed during, or in connection with, the inspection and as documented in the SOD.

E. Compassionate Care requested an administrative hearing regarding the Notice of Intent to Revoke, and a hearing is scheduled before the Arizona Office of Administrative Hearings under Case No. 2024-MMR-0006-DHS (the "Hearing").

F. The Department and Compassionate Care (collectively, the "Parties") participated in an informal settlement conference on August 3, 2023 and continued settlement discussions thereafter. The parties reached a settlement and enter into this Consent Agreement ("Agreement"), effective as of the date of the final signature below (the "Effective Date"), to resolve their disputes arising out of the SOD and the Notice of Intent to Revoke and to set forth the terms and conditions of their settlement and resolution of various matters arising out of the Department's regulation of Compassionate Care as a marijuana establishment under SASAA and the Rules.

**Agreement**

NOW THEREFORE, in consideration of the foregoing, and the terms, covenants, and conditions set forth herein, and for other good and valuable consideration, the sufficiency of which is hereby acknowledged, the Parties agree as follows:

1. The Parties acknowledge and agree that the Recitals set forth above are material terms and conditions of this Agreement. However, by executing this Agreement, Compassionate Care does not admit the truth of any factual findings or conclusions alleged by the Department in the SOD or the Notice of Intent to Revoke.

2. Compassionate Care acknowledges the jurisdiction of the Department and its Director under SASAA and the Rules and in connection with the marijuana establishment licensing matters concerned herein.

3. Compassionate Care hereby waives all rights to an administrative hearing or judicial review of any matter arising out of or relating to the SOD or the Notice of Intent to Revoke. Compassionate Care authorizes counsel for the Department to file a notice of settlement and motion to vacate the Hearing.

4. The Parties enter into this Agreement without trial or adjudication of any issue of fact or law and without admission or finding of any violations of any law. This Agreement is not, and shall not be construed as, an admission by Compassionate Care of any liability or wrongdoing.

5. Compassionate Care shall, at all times, remain in compliance with SASAA and the Rules.

6. Compassionate Care will pay to the Department the sum of $11,000.00 (the "Settlement Amount") in settlement of the Notice of Intent to Revoke, and the Department agrees to accept this amount in settlement of the Notice of Intent to Revoke. Compassionate Care shall pay the Settlement Amount within thirty (30) calendar days of the Effective Date. If Compassionate Care fails to pay the Settlement Amount within fourteen (14) days of the due date,

Compassionate Care shall pay a late fee of five percent (5%) of the Settlement Amount. The payment and late fee shall be made within twenty-one (21) days of the original due date. Compassionate Care will be in material breach of this Agreement if it fails pay the Settlement Amount within twenty-one (21) days of the due date, and in such event the Department may elect to take further enforcement action against Compassionate Care, including reinstating the Notice of Intent to Revoke or denying future applications to renew the License.

7. Within thirty (30) calendar days of the Effective Date, Compassionate Care will submit to the Department a plan of correction to specify actions that will be taken to address and remediate the Department's findings in the SOD and to prevent them from reoccurring. Compassionate Care will implement and remain in compliance with the plan of correction, and any supplement thereto, as approved by the Department. Compassionate Care will be in default under this Agreement if it fails to implement and comply with the plan of correction and any supplement thereto, as approved by the Department, and in such event the Department may elect to take further enforcement action against Compassionate Care, including reinstating the Notice of Intent to Revoke.

8. If Compassionate Care complies with its obligations under this Agreement by timely paying the Settlement Amount and implementing and complying with the plan of correction and any supplement thereto, as approved by the Department, then the Department's findings of deficiencies and violations alleged in the SOD, the Notice of Intent to Revoke, and all evidence gathered or received in connection therewith (the "Prior Evidence") shall not be used as independent bases for any future enforcement action by the Department against Compassionate Care. However, the Prior Evidence may be considered and used if the Department determines in its reasonable and good faith discretion that the Prior Evidence represents or is evidence of a pattern of non-compliance or ongoing, systemic, or institutional deficiencies when considered in connection with any new deficiencies or violations identified during the Department's licensing and regulation of Compassionate Care's marijuana establishment license. Compassionate Care reserves and maintains the right to contest any such actions and to contest any factual findings and conclusions alleged by the Department.

9. In any case, the Department may only use the Prior Evidence, including use of the Prior Evidence to show a repeat deficiency or violation, in any enforcement action commenced within two (2) years of the Effective Date.

10. This Agreement is between the Department and Compassionate Care. There are no third-party beneficiaries to this Agreement. Nothing in this Agreement precludes the Department from taking any enforcement action against any other person or entity or precludes other agencies or the State of Arizona from instituting other proceedings as may be appropriate in the future.

11. Nothing in this Agreement shall require or be construed as requiring the Department to (a) take any action except for compliance in good faith with the terms of this Agreement, or (b) refrain from taking any action with respect to which it has the discretion to act or not act, as the case may be, under this Agreement, SASAA, or the Rules.

12. The Parties acknowledge and agree that a mutual and fair exchange of consideration has been made in connection with this Agreement.

13. This Agreement may be modified only in a written document signed by both

Parties. No waiver of any requirement herein is effective unless made in writing. A waiver of any requirement herein shall not be deemed a waiver of any other provision.

14. This Agreement shall be governed by and construed and enforced under the laws of the State of Arizona.

15. This Agreement is subject to the approval of the Department's Assistant Director of Public Health Licensing and Policy and Intragovernmental Affairs ("Assistant Director") and is effective only upon the Assistant Director's approval. In the event the Assistant Director does not approve this Agreement, it shall be deemed withdrawn, have no evidentiary value, and may not be relied upon or introduced as evidence by either of the Parties in any action or other proceeding.

16. Compassionate Care and the person signing this Agreement on its behalf (the "Authorized Signatory") represent and warrant that (a) the Authorized Signatory is a Principal Officer or Board Member of Compassionate Care and is fully authorized to make and execute this Agreement on Compassionate Care's behalf, and (b) no further approvals are required from any persons or entities to bind Compassionate Care to this Agreement.

17. If, for any reason, any portion of this Agreement is adjudicated invalid or unenforceable by any court of competent jurisdiction, the court, in its discretion, may determine the extent of the invalidity or unenforceability of the provision as it relates to this Agreement. The remaining unaffected provisions of this Agreement will be valid, fully enforceable, and in effect. If the invalid or unenforceable provision materially alters the purpose and intent of this Agreement, any court of competent jurisdiction shall have the power to reform this Agreement to manifest the intent and purpose of the parties to this Agreement.

18. This Agreement may be executed and delivered electronically in counterparts that shall together constitute one original Agreement.

WHEREFORE, the Department and Compassionate Care enter into this Agreement effective as of the date of the final signature below.

DATED: August 8/7/2023, 2023

Leonard DeStefano
Compassionate Care of AZ, Inc.
By: Leonard Destefano
Its: Authorized Signatory

DATED: August 7, 2023

Megan Whitby
Megan Whitby
Deputy Assistant Director
Public Health Licensing
Arizona Department of Health Services

DATED: August 7, 2023

Thomas Salow
Thomas Salow
Assistant Director
Public Health Licensing and Policy and Intragovernmental Affairs
Arizona Department of Health Services